

D04 / SOURCE RECORD

Investment management agreement - draft v3

Status and parties

DRAFT - NOT EXECUTED. Illustrative extracts between Alpenridge Pension Foundation and a Capital Group contracting entity to be confirmed by Legal. No signatures, legal addresses, or actual account instructions are supplied.

1. Mandate and funding

The proposed discretionary mandate is global investment-grade fixed income with an initial USD 250,000,000 equivalent portfolio. Assets may be delivered as cash and agreed eligible securities. Planned launch: 23 November 2026, subject to operational readiness.

3. Portfolio controls

3.1 Maximum corporate issuer exposure: 5% of total account NAV at issuer-parent level; sovereign securities are excluded from this corporate-issuer test. Missing issuer mapping requires review.

3.2 No below-investment-grade purchases under the agreed rating methodology. Downgrades, missing ratings, reconciliation differences and passive breaches follow the approved exception process. Duration and currency controls require final manager approval and system validation.

4. Restricted activities

4.1 The Manager shall not purchase securities of companies deriving more than 5% of revenue from tobacco production. The Account shall have no exposure to thermal coal.

4.2 Client exclusions shall be translated into system rules only after Legal and FI PC agree the measurement scope, threshold, provider, parent mapping, missing-data treatment and effective date.

Interpretation issue

Clause 4.1 is intentionally incomplete. The phrase "more than 5%" conflicts with the policy in D05 at exactly 5%. "No exposure to thermal coal" does not specify extraction, generation, revenue threshold, subsidiaries or indirect exposure.

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5. Derivatives

5.1 FX forwards may hedge currency exposure and interest-rate futures may manage duration, subject to finalized permitted instruments, counterparty documentation, relevant market access and operational controls. Inclusion in an IMA does not establish trading readiness.

6. Fee schedule

Annual rates on the stated USD-equivalent fee basis: 0.18% on the first USD 100 million and 0.14% on assets above USD 100 million up to USD 250 million. Quarterly in arrears. Fee currency, valuation convention, proration and tax treatment remain for Legal/Billing agreement.

Illustrative annual fee at a constant USD 250m: USD 180,000 + USD 210,000 = USD 390,000. A simple quarter is USD 97,500 before proration or adjustments. This is a synthetic arithmetic example, not Capital Group pricing.

7. Reporting

Weekly CHF performance, attribution and ESG reporting by Monday 08:00 Zurich time is requested. Until the service schedule is finalized, this is an unresolved request, not an accepted service commitment.

8. Execution status

Client signature: not provided. Manager signature: not provided. Tax and AML evidence are reviewed through the appropriate specialist workstreams. No funding or trade release is authorized by this draft.